PRIVILEGED & CONFIDENTIAL — SUBJECT TO LEGAL PROFESSIONAL PRIVILEGE

IN THE MATTER OF BRAMPTON LEISURE LIMITED
v HARTWELL CONSTRUCTION LTD
(Proposed proceedings — Technology and Construction Court)

ADVICE ON THE MERITS AND QUANTUM

Instructing solicitors: Whitfield Carter LLP (ref SW/WC-00120/KGL)

Counsel: Catherine Rosenthal KC and Harriet Stanford, Eldon Chambers

Date: 20 January 2025

Introduction

1. We are asked to advise Brampton Leisure Limited ("Brampton" / "the Employer"), a wholly-owned subsidiary of Kingsford Group Limited, on the merits and likely quantum of a claim against Hartwell Construction Ltd ("the Contractor") arising out of defective design and construction of the fit-out and M&E works at The Vault Birmingham. We have been provided with the JCT Design and Build Contract 2016 dated 9 January 2023, the Employer's Requirements, the report of Lyle Forsyth Associates dated 18 October 2024, and the relevant correspondence.

2. Our advice is necessarily provisional pending disclosure and exchange of expert evidence, but we are able to express clear preliminary views.

Liability

3. The contractual framework is favourable to Brampton. Under the Contractor's Designed Portion the Contractor assumed design responsibility for the pool water-treatment and ventilation installations and for the pool-hall envelope. Clause 2.17 imports the standard of a competent professional designer; clause 2.1 imports the obligation of proper and workmanlike construction. The Employer's Requirements at Sections M3 and M4 set out specific, measurable performance criteria for water turnover and humidity control.

4. On the LFA evidence, the strongest heads are ventilation and pool water-treatment. LFA's airflow testing records a measured shortfall of approximately 22% against the design supply rate, which on its face establishes a breach of the M4 performance criterion that is difficult for the Contractor to answer. The water-treatment plant appears to have been sized against turnover figures that do not meet the M3 requirement for a 25-metre pool of this bathing load.

5. The water-ingress claim is somewhat more finely balanced. The Contractor is likely to run the "Claimant's consultant's design" defence. The key question is whether the failed abutment detail fell within the Contractor's Designed Portion. Our provisional view, having reviewed the design responsibility matrix, is that it did, and that in any event the workmanship at the seals is independently defective. We assess the prospects on this head at around 65–70%.

6. Overall we assess Brampton's prospects of establishing liability on the bulk of the claim at approximately 70–75%.

The limitation/exclusion defence

7. The Contractor is likely to rely on the bespoke amendment at Schedule 7, which it will say caps its aggregate liability. We have considered the drafting. In our view the cap is arguably ineffective in respect of the design obligations, both because of an inconsistency between Schedule 7 and clause 2.17.3 and because of the operation of section 3 of the Unfair Contract Terms Act 1977 on these facts. This is, however, a live risk that should be factored into any settlement appraisal and is a point on which we would wish to take the lead at trial.

Quantum

8. The cost-of-works element (£1,756,900) is well supported by LFA and the quantity surveyor and we expect the bulk of it to be recoverable subject to liability. The professional fees (£184,200) are recoverable in principle.

9. The loss-of-profit claim (£1,310,000) is the head most exposed to challenge. The Contractor will argue remoteness, failure to mitigate and that the membership decline has other causes. The claim is properly arguable — the closures and the publicised water-quality problems plainly affected membership — but we would expect a discount on a robust basis, and recommend that the loss-of-profit model be supported by a forensic accountant before trial. Member compensation (£168,500) is recoverable as reasonable mitigation expenditure.

10. Taking the claim in the round, the pleaded total of £3,419,600 is appropriate as an opening position. Our central estimate of likely recovery at trial, weighted for litigation risk, is in the region of £2.1m–£2.5m, with interest and a substantial costs recovery on top if Brampton succeeds.

Strategy and ADR

11. We recommend that proceedings be issued in the TCC without further delay, both to apply pressure and to protect the limitation position. The claim should be pleaded at its full value. We strongly endorse an early open offer of mediation: a construction defects claim of this size is well suited to mediation, and an early settlement in the region of £2.0m–£2.3m would represent a good outcome for Brampton once costs and risk are weighed.

12. We are happy to advise further in conference.

CATHERINE ROSENTHAL KC

HARRIET STANFORD

Eldon Chambers, 20 January 2025